WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

MALAWI

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Lilongwe	Capital and seat of government; centre of the central tobacco and maize belt, with the Kasiya rutile and graphite deposit in Lilongwe district and a planned SEZ site at Area 55	Agriculture and agro-processing, mining services, public procurement
Blantyre	Commercial and industrial capital and site of the Chigumula Special Economic Zone, which received K6.4 billion for completion in the 2026/27 budget	Manufacturing, financial services, logistics
Mzuzu and the north	Northern commercial hub with a designated SEZ site at Katoto and access to the Tanzania border and lakeshore	Agro-processing, forestry, cross-border trade
Balaka district (south)	Location of the Kangankunde rare earths project and of the Phombeya substation, Malawi's landing point for the 400 kV interconnector from Mozambique	Critical minerals, power infrastructure
Lake Malawi and Salima	The country's main tourism asset; design work on the Salima Integrated Tourism Resort is funded in the 2026/27 budget	Tourism and hospitality, fisheries
Nacala Corridor	Rail link through Malawi to Mozambique's deep-water port of Nacala; a 2,400 km regional extension to Zambia and the DRC is being planned by four governments	Rail and logistics, mineral and agricultural exports
Special Economic Zones and industrial parks	SEZ Act in force since March 2024, with MITC as the SEZ Authority; the 2026/27 budget funds Chigumula and the start of three industrial parks	Export manufacturing, agro-processing, mineral beneficiation

INVESTOR ENTRY ROUTES

- Malawi Investment and Trade Centre (MITC), the national investment and export promotion agency, which guides investors through registration, permits and incentives and organises investor forums
- Investment framework under the Investment and Export Promotion Act, giving investors the right to establish, acquire and dispose of business interests, with priority given to agriculture, tourism, mining and manufacturing
- Special Economic Zones Act (in force March 2024), designating MITC as the SEZ Authority and offering a more liberal regime for qualifying zone investors, with implementing regulations being finalised

- Reserve Bank of Malawi oversight of the managed kwacha (about K1,734 per dollar in October 2026); export proceeds must be repatriated within 90 days, and investors should plan for foreign-exchange availability when remitting profits
- Mining entry through the Ministry responsible for mining and the state Malawi Mining Company (MAMICO), with the current policy favouring in-country processing and value addition before export
- Public-private partnership opportunities in energy, aviation and road networks, alongside regional power trade once Malawi joins the Southern African Power Pool

MARKET-ENTRY OBSERVATION

Malawi in October 2026 is a reform-minded frontier market with a young population, abundant land, water and minerals, and a government focused on restoring macroeconomic stability. Inflation has fallen steadily from 28.7% in September 2025 to 20.0% in August 2026, allowing the Reserve Bank to cut its policy rate by 200 basis points to 24% in March 2026, its first move since February 2024. The IMF projects growth of 2.6% in 2026 on an economy of about $18.3 billion, while the government's budget targets 3.8%. An IMF mission that ended on 6 October 2026 reported considerable progress towards a new Extended Credit Facility, citing strong reforms to tighten fiscal discipline. FDI inflows reached $220 million in 2024, and the government's agriculture, tourism, mining and manufacturing strategy, the 2024 SEZ Act and new critical-minerals projects such as Kasiya rutile and Kangankunde rare earths give investors clear entry points.

Malawi's main structural challenge is foreign-exchange availability. Exports of $936 million in 2025, led by tobacco, covered about a quarter of imports of $3.6 billion, reserves stood at 2.4 months of import cover in May 2026, and public debt is high, with external commercial-creditor restructuring still being negotiated. The policy response is under way: a deficit target cut from 11.9% to 9.0% of GDP in the 2026/27 budget, progress with bilateral creditors including China and India, a shorter 90-day export-proceeds repatriation rule, and gold purchases to build reserves. A new IMF programme would unlock wider donor and DFI support. For investors, this creates opportunity in exactly the areas the economy needs most: export-oriented agro-processing, mineral beneficiation, and power, where the 218 km Mozambique–Malawi interconnector and plans to lift capacity from under 600 MW to over 1,000 MW by 2030 open space for independent producers.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Foreign-exchange availability and profit repatriation	Reserves were 2.4 months of import cover in May 2026 and the World Bank reports a large parallel-market premium, which can delay remittances and import payments	Export-earning and import-substituting projects generate their own hard currency; structure offshore revenue accounts where permitted and track the new IMF programme, which would support exchange-rate reform
Public debt and pending restructuring	Debt was 90.9% of GDP in December 2025 and talks with external commercial creditors are not yet complete, although bilateral talks with China and India have progressed	Fiscal consolidation and a prospective IMF programme support a resolution; DFI co-financing and political-risk cover can protect larger projects
Export concentration in tobacco	Tobacco provides the bulk of export earnings, and 2026 auction sales fell to $261 million by mid-season, about 41% below the same point in 2025	Diversification is a stated priority of government and the World Bank, creating openings in tea, sugar and agro-processing value chains for investors with export know-how
Mining policy changes	An October 2025 Executive Order bans exports of unprocessed minerals, and new mining licences have been suspended pending an audit and a review of mining laws	Locally processed or value-added minerals are exempt; investors planning beneficiation in Malawi are aligned with policy and should engage the Ministry and MAMICO early
Power supply	Generation capacity of under 600 MW limits industrial output, and outages affect firms	The Mozambique interconnector, Southern African Power Pool membership and the 1,000 MW target by 2030 create opportunities for solar, hydro and captive-power investors

Issue	Potential Impact	Possible Mitigation
Landlocked geography and logistics costs	Distance to the sea and fuel import needs add to trade costs	The Nacala rail corridor and regional plans for its extension improve access to the Indian Ocean; logistics and storage are investment opportunities in their own right
Land and administrative processes	2022 land-law amendments restrict foreign ownership of land and approvals can be slow	Use leasehold or joint-venture structures with local partners, and use MITC facilitation and SEZ sites to secure serviced land

INVESTOR RISK NOTE

Malawi's risk profile is that of a stable, peaceful democracy working through a period of macroeconomic adjustment. Political risk is low: power has changed hands peacefully through elections, most recently with President Peter Mutharika taking office in October 2025, and ethnic and religious tensions are minimal. The main risks are economic: limited foreign exchange, high public debt with commercial restructuring still in progress, and dependence on tobacco and rain-fed farming. The direction of travel is positive. Inflation has fallen by almost nine percentage points in a year, the central bank has begun easing, the 2026/27 budget cuts the deficit, and the IMF reports considerable progress towards a new programme. Investors should plan for currency and remittance timing, favour projects that earn or save foreign exchange, and use DFI partners and political-risk insurance for larger commitments. Those entering now are positioned ahead of the recovery that a completed IMF programme and debt restructuring would support.

MARKET ACCESS

Malawi is a member of the Southern African Development Community (SADC), the Common Market for Eastern and Southern Africa (COMESA) and the African Continental Free Trade Area (AfCFTA), giving preferential access to a large regional market that includes neighbours Tanzania, Zambia and Mozambique. It is a WTO member and, as a least developed country, qualifies for preferential access to major markets including the European Union and the United Kingdom. Tobacco, tea and sugar are the leading exports. Trade moves mainly through neighbouring ports, including Nacala in Mozambique by rail, and ties with Tanzania are deepening, with MITC holding the third Malawi–Tanzania Investment and Trade Forum in Dar es Salaam in September 2026. Regional connectivity is improving: the Nacala rail corridor is being planned for extension to Zambia and the DRC, and the interconnector with Mozambique will link Malawi to the Southern African Power Pool.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Peter Mutharika)	Sets economic policy, including the mineral beneficiation drive, austerity measures and the planned mineral Sovereign Wealth Fund	Primary reference point for strategic direction and flagship investments
Malawi Investment and Trade Centre (MITC)	National investment and export promotion agency and statutory Special Economic Zones Authority	First point of contact for market entry, incentives and SEZ sites
Reserve Bank of Malawi (Governor Dr McDonald Mwale)	Sets monetary policy and manages foreign-exchange regulations, reserves and the kwacha	Essential for capital registration, remittances and currency planning
Ministry of Finance, Economic Planning and Decentralisation	Leads the budget, fiscal consolidation, IMF negotiations and debt restructuring	Key for understanding the reform programme and public-investment pipeline
Ministry of Industrialization, Business, Trade and Tourism	Leads trade, industrial and tourism policy, including SEZ regulations and regional trade promotion	Relevant for manufacturing, export and tourism projects
Ministry responsible for Mining and Malawi Mining Company (MAMICO)	Regulate and participate in the minerals sector, including licensing, the mining-law review and beneficiation policy	Essential counterparts for any mining or processing investment

Actor	Why It Matters	Waverley Engagement Angle
Export Development Fund (EDF)	State-backed export finance institution supporting exporters and analysing investment trends	Possible co-financing and trade-finance partner for export projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Malawi Confederation of Chambers of Commerce and Industry (MCCCI) is the main private-sector voice and a useful partner for introductions, alongside MITC, which runs investment forums such as the China–Malawi series and the Malawi–Tanzania Investment and Trade Forum held in Dar es Salaam in September 2026. The World Bank is a leading development partner, supporting infrastructure such as the Mozambique–Malawi interconnector and publishing the regular Malawi Economic Monitor, while other DFIs are active in agriculture, energy and transport. Established mining developers, including those at Kasiya and Kangankunde, and the commercial banks in Blantyre and Lilongwe are practical sources of on-the-ground intelligence on licensing, foreign exchange and logistics.

INVESTOR PROFILE BEST SUITED

Malawi best suits investors with a long-term horizon and a tolerance for frontier-market conditions: agribusiness and agro-processing investors building export value chains beyond tobacco; critical-minerals developers prepared to process in country, in line with government policy; renewable-energy and independent power producers responding to the drive to exceed 1,000 MW by 2030; and tourism investors drawn to Lake Malawi and the national parks. Projects that earn or save foreign exchange, and those backed by DFIs or impact capital, are best placed to manage currency conditions and to benefit as stabilisation takes hold.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage MITC and assess SEZ and incentive options
Open dialogue with the Malawi Investment and Trade Centre on sector incentives, SEZ sites such as Chigumula, and registration requirements.

STEP 2: Plan for foreign-exchange and remittance conditions
Take banking and legal advice on capital registration with the Reserve Bank, export-proceeds rules and remittance timing, and favour structures that earn foreign currency.

STEP 3: Track the IMF programme and debt restructuring
Follow progress towards a new Extended Credit Facility and the commercial-creditor talks, which would unlock donor funding and support currency reform.

STEP 4: Align mining and processing plans with beneficiation policy
Engage the mining ministry and MAMICO early on licensing, the mining-law review and in-country processing requirements.

STEP 5: Partner with DFIs and local businesses
Use World Bank, AfDB and other DFI programmes, MCCCI networks and local joint-venture partners to share risk and secure land, power and market access.